Satya Prakash Bagla vs Sprint Services Pvt. Ltd. And Ors. on 11 January, 2002

Equivalent citations: 2002(142)ELT524(DEL)

JUDGMENT

V.S. Aggarwal, J.

1. Satya Prakash Bagla (for short the plaintiff) has filed the present suit for declaration that the charge of the plaintiff on the vehicles ranks higher than the claim, if any, of defendants 2 and 3 and that the action of defendants 2 and 3 in sezure/detaining the vehicles on 26th June, 2001 is illegal. He seeks a permanent injunction against the defendants restraining them from interfering in the possession of the plaintiff, his representatives with respect to the vehicles mentioned in the plaint and lastly a mandator injunction directing the defendants to redeem the pledge of the cars by paying the amount.

2. The facts pleaded by the plaintiff are that the plaintiff was approached by defendant No. 1 (M/s Sprint Services Pvt. Ltd.) for a temporary loan in the month of March 2001. It was represented that the money was needed to import new cars in connection with its business for providing car rental services in India. It was further told to the plaintiff that the cars had been duly cleared from the custom authorities under EPGC scheme and the customs duty foregone by the authorities on the said vehicles was fully secured with a bank guarantee issued by Western Corporation Bank Ltd., Mumbai. Acting on the representation aforesaid the plaintiff agreed to grant the advance ad as security for the amount advanced defendant No. 1 agreed to pledge the new imported cars. The plaintiff in this regard advanced certain amounts details of which have been given:

S.No. Date of deed Amount Details Particulars of of pledge Advanced DD.No vehicles. & Chasis No.

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1. 4/4/2001 29,96,875/- 571401 BNW /x-5 WBAFB32030LH62255

2. 12/4/2001 20,00,000/- 571425 Toyota Celsior 571426 UCF31-0008116

3. 17/4/2001 19,97,500/- 571431 Toyota Celsior 571432 UCF31-0022633

4. 30/4/2001 25,00,000/- 571438 BMW X-5 WBAFB32010LH62223

5. 1/6/2001 26,97,250/- 571442 Mercedes S-600 571449 WDB 22017B28198384

3. The defendant No. 1 had agreed to repay the amount together with interest at 24% within three months. But it is asserted that plaintiff was shocked (Directorate of Revenue Intelligence) who visited the premises of the plaintiff on 29th June, 2001 without serving any notice that the cars which were subject matter of pledge were required by them in connection with some custom duty evasion by defendant No. 1. The officers represented that vehicles were required to be seized under the provisions of Customs act, 1962 and the vehicles were found parked int eh premises of the plaintiff. The grievance of the plaintiff is that his charge is prior in point of time when no dispute whatsoever regarding any evasion of custom duty had every been raised. Now the plaintiff has come to know that there is some litigation pending between defendants. It is alleged that there is no violation of any condition of import asserting that defendants 2 and 3 cannot remove cars from the custody of the plaintiff. The present suit as such with the aforesaid reliefs referred to above has been filed.

4. In the written statement filed by defendant No. 1 the said defendant, by and large, supports the assertions of the plaintiff.

5. The contest has been offered by defendants 2 and

3. It was been pleaded that it is a glaring and strking instance of aiding smugglers by the plaintiff in whose favor the order of bail granted by the Evening Sessions Judge, Bombay had been quashed by the Bombay High Court and upheld by the Supreme Court. Sanjay Aggarwal and Rajeev Aggarwal are in judicial custody but they have also been detained in COFEPOSA. It has further been asserted that under the EPCG scheme the goods are subject to actual user condition and therefore cannot be pledged to a third party. The vehicles had been imported by defendant No. 1 under a license issued under Export Promotion Capital Goods Scheme. Investigations carried out by DRI revealed that the said cars which have been pledged to the plaintiff have been imported by misrepresentation and fraud and the conditions of import licenses have been violated. The charge of the plaintiff on the cars was never registered with RTO after the same were registered in the name of SSBL. The genuineness and liquidity of the pledge itself is under investigation by DRI. The plaintiff is a car dealer. The vehicles are stated to have been pledged to him against a loan of Rs. 1.17 crores but the terms of the license have been violated. The cars should have been in possession of SSBL. The actual user condition has been violated. It has been further pleaded that plaintiff cannot claim any interest on the cars over-riding the provisions of the Customs Act, 1962.

6. During the pendency of the said suit the plaintiff by virtue of IA 8280/2001 was seeking an ad interim injunction to restrain defendants 2 and 3, its servants or representatives from interfering in the possession of the plaintiff, his representative and agents from removing the vehicles in question from the possession of the plaintiff. When the civil suit was taken up for hearing, an ex parte order was passed restraining the defendants from interfering in the possession of the plaintiff with respect to the vehicles in question except in accordance with law with a corresponding restraint order on the plaintiff in any way creating any third party interest in the said vehicles. Defendants 2 and 3 have also preferred IA 95663/20001 seeking to shift the vehicles to the custom godown. By the present

order both the above said interim applications are proposed to be disposed.

7. On behalf of the defendants 2 and 3 reliance was placed on the fact that so far as defendant No.1 are concerned they have violated the terms and have imported the vehicles by misrepresentation and frauds. Shri Sanjay Aggarwal and Rajeev Aggarwal have been detained under COFEPOSA and even the bail order granted to them had since been cancelled by the Bombay High Court. It was alleged that even the Supreme Court had not interfered in the said order and the bail matter is yet to be re-heard. At the outset so far as this particular argument is concerned, this court must record that it has nothing to do with the disposal of the present application. The criteria for grant or refusing a bail during pendency of investigation or trial are totally different. There are different considerations for grant of temporary ad interim injunction during the pendency of the suit. Therefore, even if a person has been refused or admitted to the bail is not a question which could be highlighted so as to defeat a civil right of a person if any. More so when the plaintiff is not the person who has been detailed under COFEPOSA.

8. In the present case during the course of submissions it was pointed that investigations of the matter is under way. It is likely to take only a few more months and it was further pointed that the goods as such had been seized and given on 'superdari' to the plaintiffs. The plaintiffs cannot retain or detain the same. It was further pointed that defendants 2 and 3 that objections, if any, can be raised by the plaintiff before the authorities under the Customs Act, 1962.

9. Reference in this connection can well be made to the provisions of Section 110 of the Customs Act which permits seizure of goods, documents and other articles. Sub-section (1) to Section 110 provides that if the proper officer has reason to believe that any goods are liable to confiscation he may seize such goods. Where it is not practicable to seize any goods the officer may serve the owner of the goods an order that he shall not remove, part with or deal with the goods except permission of the officer. Sub-section (1A) to Section 110 deals with the power of the Central Government to dispose of perishable or hazardous goods and inventory has to be prepared and matter can be dealt with in accordance with Sub-section (1B) to Section 110 of the Customs Act, 1962. Section 111 further deals with confiscation of goods. At this stage one need not go into further provisions about penalty for improper penalty of goods contemplated under the Act and confiscation of the said goods. Section 128 further provides that any person aggrieved by any decision or order passed by an officer of the c ustoms lower in the rank than a Commissioner may appeal to the Commissioner (Appeals). Procedure as such even has been prescribed.

10. It is abundantly clear from what has been reproduced above that goods as such had been seized and given on 'superdari' to the plaintiff under the Customs Act. The action is being taken by defendants 2 and 3 under Customs Act. The Customs Act by itself provides a procedure regarding seizure of the goods as such. 'Superdaginama' dated 29th June, 2001 even has been placed on record. By virtue of the same plaintiff besides a separate undertaking, copy of which is also on record, on basis of the said 'superdaginam' undertaken not to deal with, part with or in any manner do any act without permission of the Directorate of Revenue Intelligence. The relevant portion of the same reads:-

> "Whereas the officers of Directorate of Revenue Intelligence, Delhi Zonal Unit New Delhi seized the following imported vehicles mentioned at sl. No. 1 to 5 below under panchanama dated 29.6.2001 under the provisions of the Customs Act, 1962 from the premises of Shri Satya Prakash Bagla situated at Khasra No. 285 Jade Garden, Village Lodha Sarai, Mehrauli, New Delhi on 29.6.2001 valued at Rs. 225 lakhs (approx.). The DRI officers also detained 3 (three) imported vehicles valued at 22 lakhs from the said premises also on 29.6.2001 under the provisions of the Customs Act, 1962 (eight) imported vehicles have been handed over under superdagi to Shri Satya Prakash Bagla s/o Shri Lalit Bagla for safe custody. He is directed not to deal with remove or part with or in any other manner with the said imported vehicles until further directions from the Directorate of Revenue Intelligence, Delhi Zonal Unit, New Delhi."

11. The plaintiff has not cared to challenge the said 'superdaginama'. He is only asserting an independent right being the pledging of the goods which is purported to have been created by defendant No. 1. If the goods had been illegally imported by any misrepresentation then defendant No.1 could not possess a better title or a better right than he himself had possessed. This is a matter yet to be investigated and to be gone into as to whether transactions between the plaintiff and defendant No.1 is valid or not. pertaining to that though some brief arguments were addressed but no opinion is being expressed. The goods certainly would be required as case property if there is any such matter. Once the matter is under investigation and the goods had already been seized, plaintiff cannot claim any prima facie right to retain the said vehicles and consequently the ad interim injunction application claimed by the plaintiff must fail and subject to the restriction to be placed hereinafter.

12. For these reasons application IA 8280/2001 is dismissed but it is added that during the pendency of the suit (i) investigation shall be completed at an early date preferable within three months from today

(ii) the goods can be taken into custody by defendants 2 and 3 but in this regard defendants 2 and 3 will not dispose of or remove the goods from the jurisdiction of this court without permission of the court; (iii) after investigation is completed defendants 2 and 3 will inform the result of the same and plaintiff would be at liberty to take further action in accordance with law pertaining to the custody of the goods.

13. It is added by way of abundant caution that nothing said herein should be taken as any expression of opinion on merits of the matter.